

FUNERAL ASSURANCE SECTOR REPORT



For the Quarter-Ended
31 March 2022

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- II. This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report.
- III. Growth referred to in this report is nominal growth unless stated otherwise.
- IV. Please Note: All Monetary Figures are in ZW\$ except where stated.
- V. Income statement figures were adjusted using year-on-year inflation of 72.7% reported for March 2022. Source:
<https://www.rbz.co.zw/index.php/research/markets/inflation>
- VI. **Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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ABBREVIATIONS

GPW	Gross Premium Written
NPW	Net Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [<i>Chapter 24:07</i>]
S.I.	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme



1. Executive Summary

- 1.1. For the three months under review, the number of registered and operating funeral assurers stood at eight (8).
- 1.2. Nominal Gross Premium Written by the Funeral Assurance Sector amounted to ZW\$701 million.
- 1.3. The inflation-adjusted Gross Premium Written for the funeral assurance sector increased by 109% from ZW\$194 million reported for the three months ended 31 March 2021 to ZW\$406 million for the three months ended 31 March 2022.
- 1.4. In terms of forex business, the sector recorded a gross premium of US\$67,359 and 3,810 Rands for the quarter ended 31 March 2022.
- 1.5. As at 31 March 2022, six (6) out of the eight (8) funeral assurers were compliant with the regulatory Minimum Capital Requirement (MCR) of ZW\$62.50 million, as prescribed in Statutory Instrument 59 of 2020.
- 1.6. Total assets for the funeral assurance sector increased by 55% from ZW\$2.87 billion as at 31 December 2021 to ZW\$4.45 billion as at 31 March 2022.
- 1.7. All funeral assurers were not compliant with the minimum prescribed asset ratio, with an average prescribed asset ratio of 0.11% for the sector, against a required ratio of 10%, as stipulated in Statutory Instrument 206 of 2019.
- 1.8. The total amount invested in prescribed assets was only ZW\$4.99 million against the required minimum amount of ZW\$445.05 million to comply with the minimum prescribed asset threshold of 10%.
- 1.9. Total technical liabilities for the funeral assurance sector slightly increased by 5% in nominal terms from ZW\$1.36 billion as at 31 December 2021 to ZW\$1.43 billion as at 31 March 2022, with future policyholders' benefits being the major component constituting 99.79% of the technical liabilities.
- 1.10. Profit before tax for the funeral assurance sector increased by 341% in nominal terms from ZW\$23.17 million for the three months ended 31 March 2021 to ZW\$102.28 million for the comparative period in 2022. After adjusting for inflation, the profit before tax increased by 156% from ZW\$23.17 million to ZW\$59.23 million over the same period.
- 1.11. For the three months ended 31 March 2022, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 80.43%. The remaining six (6) funeral assurers accounted for the difference of 19.57%.
- 1.12. None of the funeral assurers had any reinsurance arrangement(s) in place for the three months ended 31 March 2022.

2. Introduction

- 2.1.** The Insurance and Pensions Commission (IPEC) is a statutory body, mandated with regulating, supervising, and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2.** This report outlines the Funeral Assurance Sector developments and IPEC's various activities in the sector consistent with its statutory mandate during the three months ended 31 March 2022.

3. Terms of Reference

- 3.1.** The activities of the Commission are guided by the following Acts and their Regulations:
- 3.1.1. Insurance and Pensions Commission Act [*Chapter 24:21*];
 - 3.1.2. Pension and Provident Funds Act [*Chapter 24:09*];
 - 3.1.3. Insurance Act [*Chapter 24:07*];
 - 3.1.4. Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
 - 3.1.5. Finance Act [*Chapter 23:04*];
 - 3.1.6. Public Entities and Corporate Governance Act [*Chapter 10:31*];
 - 3.1.7. Public Finance Management Act [*Chapter 22:19*]; and
 - 3.1.8. Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]

4. ECONOMIC DEVELOPMENTS

4.1. Global and Regional Economic Outlook

Global economic growth is projected at 3.6% in 2022, from 6.1% in 2021 (IMF, 2022), undermined by supply chain disruptions and economic fragmentation emanating from the conflict between Russia and Ukraine. Table 1 summarises the global economic outlook projections.

Table 1: World Economic Outlook Projections (%).

	2021	2022	2023
World Output	6.1	3.6	3.6
Advanced Economies	5.2	3.3	2.4
USA	5.7	3.7	2.6
Euro Area	5.3	2.8	2.3
Emerging Markets and Developing Economies	6.8	3.8	4.4
China	8.1	4.4	5.1
Sub-Saharan Africa	4.5	3.8	4.0
Nigeria	3.6	3.4	3.1
South Africa	4.9	1.9	1.4
Zimbabwe	6.3	3.5	3.0

Source: April 2022 World Economic Outlook Update, IMF Projections

Similarly, growth in sub-Saharan Africa is projected to contract to 3.8% in 2022 and 4% in 2023, from 4.5% in 2021, due to climate shocks and tightening of global financial conditions arising from the war in Ukraine.

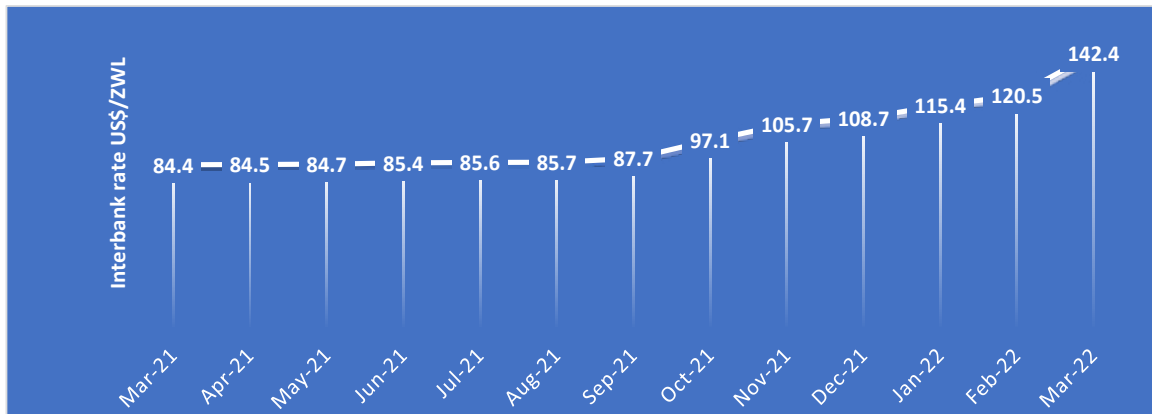
4.2. Domestic Economic Outlook

The economy is expected to grow by 5.5% in 2022 from 7.8% in 2021 (Ministry of Finance and Economic Development, 2021). Notwithstanding the subdued forecast, growth will be anchored on a pick-up in mining and buoyant construction. The International Monetary Fund, however, forecasts a lower economic growth rate of 3.5% in 2022 and 3% in 2023.

4.3. Exchange Rate Developments

The Zimbabwe dollar (ZW\$) depreciated against the US dollar, shedding 31%, from US\$1: ZW\$108.7 recorded at the end of the fourth quarter of 2021 to US\$1: ZW\$142.4, registered at the end of the quarter under review. The local currency depreciation was mainly driven by the speculative behaviour of economic agents. The developments in exchange rate are shown in Figure 1.

Figure 1: Interbank Exchange Rate March 2021 to March 2022 (US\$/ZWL) – End of Period

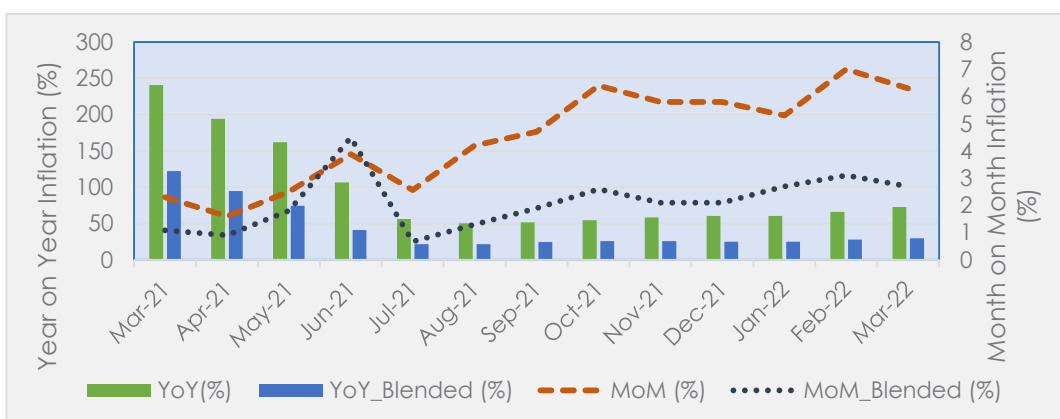


Source: Reserve Bank of Zimbabwe

4.4. Inflation Developments

The annual inflation rate rose to 72.7% in March 2022, from 60.7% recorded as at 31 December 2021. The upward trend was partly driven by increased fuel and food costs owing to the Russia and Ukraine war, and foreign exchange rate volatility, following the widening gap between the auction and parallel market rates. The month-on-month inflation stood at 6.3% as at 31 March 2022, up from 5.8% recorded as at 31 December 2021. Figure 2 illustrates the inflation trend from March 2021 to March 2022.

Figure 2: Inflation profile (%), March 2021 to March 2022



Source: Zimbabwe National Statistics Agency

4.5. Zimbabwe Stock Exchange Performance

During the quarter under review, the Zimbabwe Stock Exchange maintained positive momentum, resulting in the All-Share Index, Top 10 index, and Medium Cap index gaining 44%, 51%, and 26% respectively. The local bourse added 47% worth of capitalisation, from the previous quarter's value of ZW\$1.32 trillion to ZW\$1.94 trillion. The gains in the stock market are attributed to a combination of inflation, the good financial performance of underlying companies, and the growing appetite for equities as a value-preserving asset. Table 2 shows the quarterly change in the key stock market indicators.

Table 2: Changes in the Key Stock Market Indicators

ZSE Indicator	Dec-2021	Mar-2022	Change (%)
All share index (points)	10, 822.4	15, 581.9	44
Top 10 Index (points)	6, 811.4	10, 296.7	51
Medium Cap Index (points)	20, 407.3	25, 692.6	26
Small Cap Index (points)	402,753.1	399,696.2	-0.8
Market Capitalisation (ZW\$ billion)	1, 317.2	1, 935.2	47
Shares traded (million)	26.8	30.3	13
Market turnover (ZW\$ mil)	831.6	2, 189.5	163

Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX) Performance

VFEX ended the quarter with a total turnover amounting to US\$5.3 million, compared to US\$114, 544.74 recorded in the fourth quarter of 2021. However, market capitalisation declined in the quarter by 2.35% to US\$253.7 million.

4.6. Money Market Developments

Savings Deposit Rates

The annual inflation rate continues to be higher than the average savings deposit rates which were below 20% during the quarter, against an inflation rate of 72.7%. This implies that the real returns on money market investments remain negative thereby discouraging long-term savings.

4.7. COVID-19 Updates

The world Covid-19 cumulative cases reached 479.3 million at the end of March 2022, indicating a 72% increase from 278.9 million cases confirmed at the end of December 2021. Pandemic-related deaths also increased from 5.4 million to 6.1 cases (WHO, 2021). The resurgences of Covid-19 and lockdowns in several Chinese cities are of concern.

The total Covid-19 cases in Zimbabwe increased from 213, 258 as at 31 December 2021 to 246, 286 recorded as at 31 March 2022. The recovery rate also rose from 85% to 96% over the same period. The Covid-19 related deaths also increased from 5, 004 to 5, 444 cases. As at 31 March 2022, a total of 3, 529, 646 people had received their second dose.

4.8. Covid-19 Impact on Insurance and Pensions Industry

The Covid-19 pandemic provided impetus for insurance companies to increasingly adopt emerging technologies to drive efficiency, enhance cybersecurity, and expand capabilities. The adoption of emerging technologies should focus on improvement of customer experience by streamlining processes through automation as well as providing customised services where needed or preferred.



5. Performance in terms of Business Written

- 5.1. The Funeral Assurance Sector recorded a nominal gross premium of ZW\$701 million for the quarter ended 31 March 2022, an increase of 262% compared to ZW\$194 million reported for the quarter ended 31 March 2021.
- 5.2. In terms of forex business, the sector wrote a gross premium of US\$67,359 and 3,810 Rands for the quarter ended 31 March 2022.
- 5.3. After adjusting for inflation, the funeral assurance sector's GPW increased by 109% from ZW\$194 million reported for the three months ended 31 March 2021 to ZW\$406 million for the three months ended 31 March 2022.
- 5.4. In nominal terms, new business contributed to an increase in GPW from ZW\$4.36 million during the first three months of 2021 to ZW\$20.20 million reported for the comparative period in 2022.
- 5.5. The increase in GPW was also on account of premium increases as funeral assurers sought to align both the premiums and policyholder benefits in response to the volatile and dynamic inflationary macroeconomic environment.
- 5.6. This is also evidenced by a sharp increase in recurring business of 259% from ZW\$189.43 million for the quarter ended 31 March 2021 to ZW\$680.54 million for the quarter ended 31 March 2022.
- 5.7. In nominal terms, all the players recorded significant growth of above 100% in GPW, and none of the players recorded negative growth.
- 5.8. For the three months ended 31 March 2022, life assurers wrote nominal gross funeral assurance business amounting to ZW\$3.64 billion which was approximately five times more than the ZW\$701 million written by the dedicated funeral players.

5.9. A detailed breakdown of GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4.

Table 3: Gross Premium Written Per Company (ZW\$000)

Name of Company	Mar-21	Mar-22	Mar -22 Inflation Adjusted	Change Inflation Adjusted	Nominal Change
First Funeral	42,615.55	166,791.56	96,581.48	126.63%	291.39%
Foundation	8,256.13	17,425.14	10,090.11	22.21%	111.06%
Moonlight	114,007.52	396,821.07	229,781.20	101.55%	248.07%
Orchid	327.44	892.08	516.56	57.76%	172.44%
Passion	8,643.22	61,399.78	35,553.85	311.35%	610.38%
Ruvimbo	5,526.05	14,072.32	8,148.64	47.46%	154.65%
Sunset	1,197.27	5,644.64	3,268.56	173.00%	371.46%
Vineyard	13,223.00	37,688.22	21,823.55	65.04%	185.02%
Total	193,796.19	700,734.81	405,763.95	109.38%	261.58%



6. Capitalisation

6.1. As at 31 March 2022 Six (6) out of the eight (8) funeral assurers were compliant with the regulatory Minimum Capital Requirement (MCR) of ZW\$62.50 million as prescribed by Statutory Instrument 59 of 2020.

6.2. The Commission continues to urge all players to be always well capitalised. The sector is also urged to adequately prepare for the new risk-based capital regime which will be brought about by the implementation of the Zimbabwe Integrated Capital & Risk Programme (ZICARP).

6.3. As at 31 March 2022, capital positions for funeral assurers ranged from ZW\$5.19 million to ZW\$1.74 billion as shown in Table 4 below.

Table 4: Capitalisation Trend Levels

Name of Company	Mar-21 (ZW\$000)	Mar-22 (ZW\$000)
First Funeral	157,278	227,826
Foundation	74,966	73,903
Moonlight	764,745	1,738,395
Orchid	5,322	5,188
Passion	6,487	30,064
Ruvimbo	58,466	97,238
Sunset	204,356	99,860
Vineyard	58,182	192,120
Total	1,329,802	2,464,594

Key

	Undercapitalised
	Capitalised

7. Asset Quality

7.1. Total assets for the Funeral Assurance Sector increased by 55% from ZW\$2.87 billion as at 31 December 2021 to ZW\$4.45 billion as at 31 March 2022.

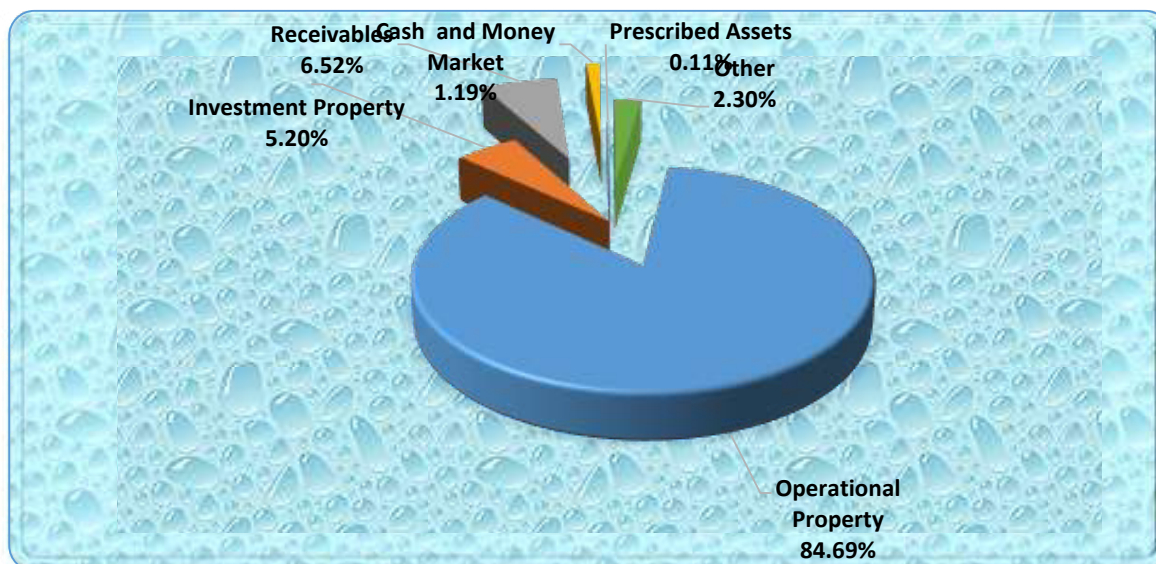
7.2. The asset base for the sector remains highly concentrated in immovable property consisting of 84.69% of the total assets. This concentration in immovable property mainly arises from the need by the sector to invest in assets that are used for funeral service provision.

7.3. The Commission calls for prudent investment practice by funeral assurers considering the need to hold assets that match liability profiles.

7.4. Investments in equities, cash and money market instruments were held in very small proportions relative to the overall asset portfolio.

7.5. The distribution of assets for the Funeral Assurance Sector is shown in Figure 3 below.

Figure 3: Breakdown of Assets



7.6. As at 31 March 2022, all funeral assurers were not compliant with the minimum prescribed asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019. Prescribed asset investments were very small as they accounted for an average of only 0.11% of the total asset portfolio.

7.7. The total amount invested in prescribed assets was ZW\$4.99 million against an expected minimum amount of ZW\$445.05 million, for the sector to comply with the 10% minimum prescribed asset threshold.

7.8. The Commission continues to recommend the development of sector-specific projects that speak to industry needs for the possible conferment of prescribed asset status as a way of enhancing compliance.

7.9. Table 5 below shows the compliance levels with prescribed assets for each funeral assurer.

Table 5: Prescribed Assets Levels as at 31 March 2022

Company name	PA Investments (ZW\$000)	Total Assets (ZW\$000)	PA ratio	Amount required to be compliant (ZW\$000)	Variance in compliance
Orchid	-	12,062	0.00%	1,206	10.00%
First Funeral	1,000	276,157	0.36%	27,616	9.64%
Foundation	-	217,222	0.00%	21,722	10.00%
Moonlight	3,991	3,425,722	0.12%	342,572	9.88%
Passion	-	45,621	0.00%	4,562	10.00%
Ruvimbo	-	99,520	0.00%	9,952	10.00%
Sunset	-	106,250	0.00%	10,625	10.00%
Vineyard	-	267,906	0.00%	26,791	10.00%
Total	4,991	4,450,460	0.11%	445,046	9.89%



Table 6 below shows the key financial highlights for the Funeral Assurance Sector as at 31 March 2022.

Table 6: Key Performance Indicators

Key Performance Indicator	Mar-21	Mar-22	Change (%)	Mar -22 Inflation Adjusted	Change - Inflation Adjusted (%)
Total GWP (ZW\$000)	193,796	700,735	261.58%	405,764	109.38%
Total Gross Claims (ZW\$000)	40,204	147,173	266.07%	85,221	111.97%
Operating, Administration and Management Expenses (ZW\$000)	113,208	233,977	106.68%	135,485	19.68%
Commissions (ZW\$000)	14,783	46,263	212.96%	26,789	81.22%
Total Costs(ZW\$000)	168,194	427,413	154.12%	247,495	47.15%
Profit Before tax (ZW\$000)	23,173	102,280	341.37%	59,226	155.58%
Ratio Analysis	Mar-21	Mar-22	Change (%)		
Commission Ratio	7.63%	6.60%	-1.03%		
Expense Ratio	58.42%	33.39%	-25.03%		
Claims Ratio	20.75%	21.00%	0.26%		
Combined Ratio	86.79%	60.99%	-25.79%		
	Dec-21	Mar-22	Change (%)		
Total Assets (ZW\$000)	2,874,571	4,450,460	54.82%		
Total Liabilities (ZW\$000)	1,843,163	1,985,866	7.74%		
Current Assets	320,930	440,936	37.39%		
Current Liabilities	482,031	551,717	14.46%		
Capital - Net Assets (ZW\$000)	1,031,408	2,464,594	138.95%		
Capital to liability Ratio (%)	55.96%	124.11%	68.15%		
Prescribed Assets (ZW\$000)	4,693	4,991	6.33%		
Prescribed Asset Ratio (%)	0.16%	0.11%	-0.05%		

8. Reassurance

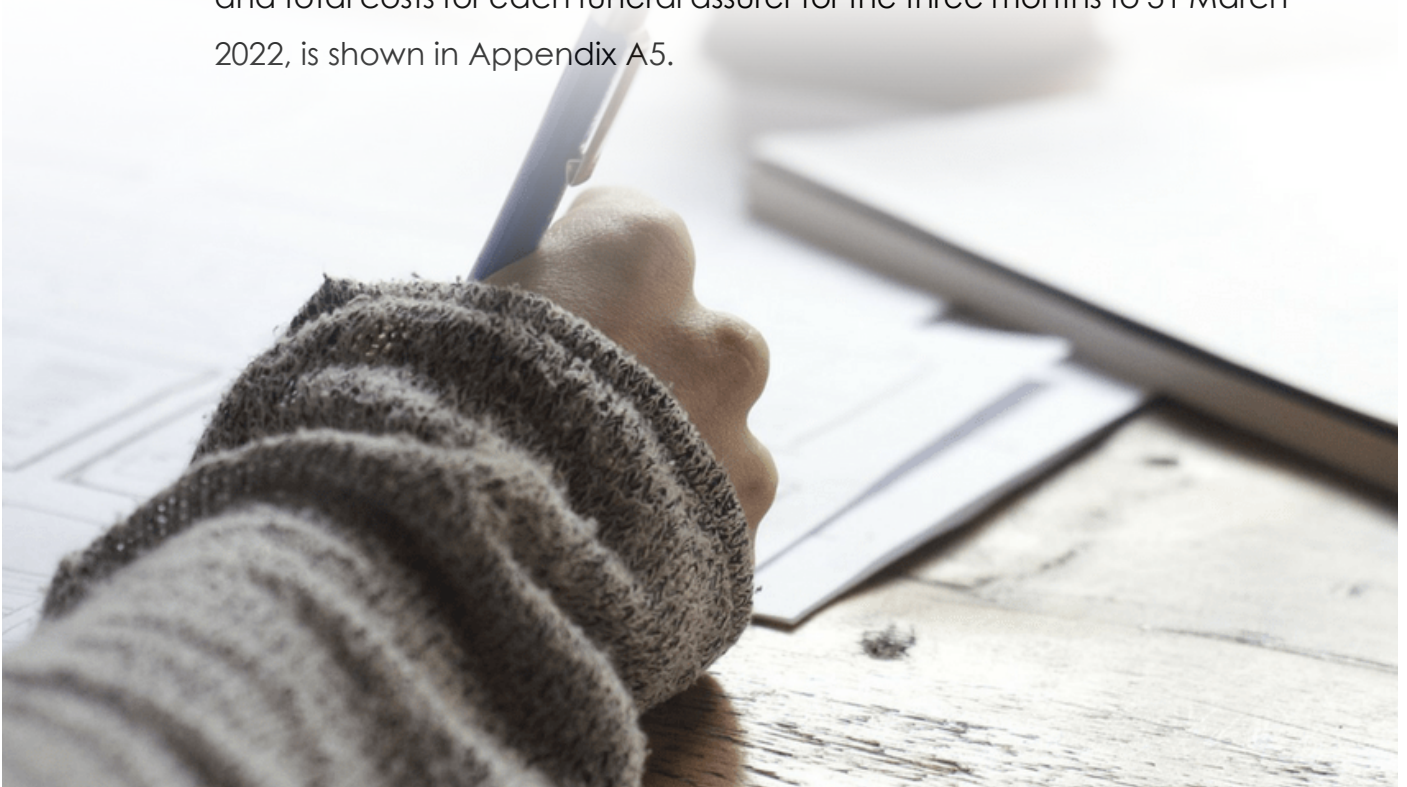
- 8.1. All funeral assurers had no reinsurance arrangements in place for the quarter ended 31 March 2022.
- 8.2. The Commission is aware of various engagements which the sector is having with the reinsurers to ensure that there are suitable reinsurance arrangements in place.
- 8.3. The sector is however encouraged to expedite the process to ensure that players are effectively reassured, so that they will manage to pay high claims in the event of catastrophes.

9. Actuarial Matters

- 9.1. Total technical liabilities for the funeral assurance sector slightly increased by 5% in nominal terms from ZW\$1.36 billion as at 31 December 2021 to ZW\$1.43 billion as at 31 March 2022. Future policyholders' benefits continue to be the major component constituting 99.79% of the technical liabilities, while unearned premium, gross outstanding claims and incurred but not reported claims reserves accounted for a smaller portion of 0.21%.
- 9.2. Funeral assurers are continuously urged to exercise prudence in determining their reserves and to ensure that they are reflective of the various risks which they are exposed to.
- 9.3. In addition, since the funeral assurance players offer benefit policies whose cost moves in line with inflation, they should continuously review their reserves to align them with their liabilities.
- 9.4. The Commission notes that the development of Mortality Tables currently underway will improve reserving and pricing of the products by the sector.

10. Earnings

- 10.1. For the period under review, seven (7) funeral assurers reported positive profit before interest and tax while one (1) player reported a loss.
- 10.2. The funeral assurance sector reported a nominal increase of 341% in profit before interest and tax from ZW\$23.2 million for the quarter ended 31 March 2021 to ZW\$102.3 million for the quarter ended 31 March 2022.
- 10.3. An increase in profit before interest and tax was on account of a notable increase in nominal GPW as players reviewed premiums in line with the prevailing inflationary macroeconomic environment.
- 10.4. The Funeral Assurance Sector's average expense ratio decreased from 66% for the quarter ended 31 March 2021 to 40% for the quarter ended 31 March 2022. This implies that for every dollar of the premium received forty cents was spent on commissions, management, and operational expenses.
- 10.5. It is important for all sector players to continuously monitor their expenses so that they are sustainable.
- 10.6. The average claims ratio and combined ratio stood at 21.00% and 60.99% respectively.
- 10.7. A summary of the claims incurred, operating expenses, commissions, and total costs for each funeral assurer for the three months to 31 March 2022, is shown in Appendix A5.



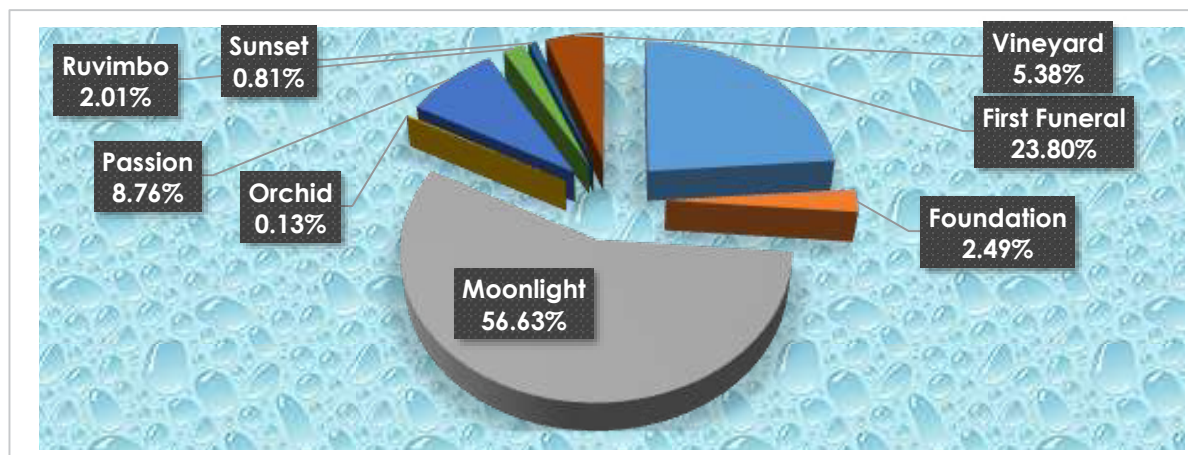
11. Liquidity

- 11.1. The funeral assurance sector reported an average current ratio of 80% indicating insufficient current assets to cover for short-term contractual obligations and other current liabilities.
- 11.2. The Commission urges funeral assurers to endeavor to match their asset profiles with their liability profiles in terms of maturity and timing.
- 11.3. Asset-liability mismatch may result in players holding either inadequate liquid assets to settle claims or too much liquid assets thereby foregoing investment opportunities.
- 11.4. Funeral assurers are encouraged to hold adequate and appropriate short-term assets that can easily be liquidated to allow them to meet their statutory short-term debts, operational expenses and fulfil their claim obligations.

12. Market Share

- 12.1. For the three months ended 31 March 2022, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 80.43%. The remaining six (6) funeral assurers accounted for the 19.57% difference.
- 12.2. The distribution of the market share in terms of GPW for the eight (8) funeral assurers is shown in Figure 4 below.

Figure 4: Market Share in terms of GPW as at 31 March 2022



13. Regulatory Developments for the Period Ending 31 March 2022

Circulars and Statutory Instruments

13.1. The Commission issued the following Statutory Instruments and Circulars to the insurance sector as shown in Table 7 below.

Table 7: Statutory Instruments and Circulars issued

Statutory Instrument (S.I.)	Date Gazetted	Purpose
S.I. 45 of 2022	18 March 2022	Revision of fees payable to the Commission.
S.I. 46 of 2022	18 March 2022	Revision of levies payable to the Commission.
Circulars	Date of Issue	Purpose
Circular 3 of 2022	7 February 2022	2022 Global Money Week Activities.
Circular 4 of 2022	3 February 2022	International Financial reporting standard (IFRS) 17 Training.
Circular 5 of 2022	7 February 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Pillar 1 31 December 2021 reporting.
Circular 8 of 2022	14 February 2022	Financial Intelligence Unit directive on revised Thresholds for cash transaction report, electronic funds transfer, and international funds transfers.
Circular 9 of 2022	15 February 2022	Appointment of Beacon Actuarial Services to Develop Mortality tables for the Zimbabwean Insurance and Pensions industry.
Circular 10 of 2022	4 March 2022	Guidance Paper implementation: Clarification on the roles of Fund Administrators, Actuaries, Accountants and Asset Managers.

Statutory Instrument (S.I.)	Date Gazetted	Purpose
Circular 12 of 2022	29 March 2022	Registration requirements for Individual Agents.
Circular 13 of 2022	18 March 2022	Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2022 and Insurance (Amendment) Regulations, 2022.
Circular 14 of 2022	29 March 2022	Amendment to the Directive on Governance and Risk Management for Insurance Companies.
Circular 15 of 2022	24 March 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Training Way Forward.
Circular 16 of 2022	23 March 2022	Registration of Insurance and Pensions industry players on goAML.
Circular 17 of 2022	28 March 2022	Mortality Tables Development Project- Industry Workshop.



14. Funeral Assurance Sector Complaints

14.1. During the quarter under review, the Commission received 9 complaints. Of these complaints, 8 were resolved while 1 was still work in progress at the end of the quarter.

14.2. The major source of complaints was unsatisfactory service offered by funeral assurances, constituting 78 percent of the complaints, while repudiation of claims constituted the remaining 22 percent.

Table 8: Complaints for the Funeral Assurance Sector

Nature of complaints	Number of complaints	% of total
Rejection of claims	2	22%
Unsatisfactory service offered	7	78%
Total	9	100%

14.3. The Commission continues to encourage funeral assurance sector players to engage and educate their clients regularly, and always provide adequate information about the terms and conditions of the policies and their implications on claims.

14.4. This allows policyholders to make informed decisions when purchasing policies. This issue should be prominent in the sector players' treating customers fairly frameworks.



15. Conclusion

- 15.1. The funeral assurance sector players should always be compliant with all applicable laws and regulations particularly on Minimum Capital Requirements and Prescribed Asset ratios.
- 15.2. In addition, the sector should also take all compliance issues seriously to avoid regulatory sanctions going forward.
- 15.3. The funeral sector is urged to revisit its business model so that it deals with the compliance issues and increased competition from life assurers amongst other things and this may also require funeral assurers to realign their balance sheets.
- 15.4. Sector players are also urged to have reinsurance arrangements in place as a risk management tool to manage loss experiences.



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets (ZW\$000)	5,188	227,826	73,903	1,738,395	30,064	97,238	99,860	192,120	2,464,594
Capital Coverage Ratio (CCR)	8.30%	364.52%	118.25%	2781.43%	48.10%	155.58%	159.78%	307.39%	492.92%
Equity/Total Assets Ratio	43.01%	82.50%	34.02%	50.75%	65.90%	97.71%	93.99%	71.71%	55.38%
Solvency Margin	75.46%	528.82%	55.60%	142.50%	N/A	N/A	3492.64%	928.44%	172.79%
Asset Quality									
Total Assets (ZW\$000)	12,062	276,157	217,222	3,425,722	45,621	99,520	106,250	267,906	4,450,460
Investments to Total Assets	24.87%	32.13%	8.94%	0.12%	2.88%	21.06%	90.96%	2.44%	5.41%
Non-Interest Generating Assets/Total Assets	74.86%	58.67%	89.80%	99.65%	82.53%	77.99%	8.33%	95.62%	93.47%
Fixed Assets/Total Assets	69.27%	47.24%	82.46%	92.03%	0.00%	62.25%	5.32%	86.18%	84.69%
Prescribed Assets Ratio	0.00%	0.36%	0.00%	0.12%	0.00%	0.00%	0.00%	0.00%	0.11%
Premium Debtors/Gross Premium	56.40%	7.16%	9.86%	61.46%	0.74%	85.97%	43.59%	44.90%	41.38%
Premium Debtors/Total Assets	4.17%	4.32%	0.79%	7.12%	1.00%	12.16%	2.32%	6.32%	6.52%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Actuarial									
UPR (ZW\$000)	67	0	0	0	0	0	1,366	0	1,433
Gross Outstanding Claims (ZW\$000)	0	565	0	1,035	0	0	0	0	1,600
Future Policyholder Benefits (ZW\$000)	6,808	42,517	132,925	1,218,912	0	0	1,493	20,693	1,423,348
Total Assets/Total Reserves	175.46%	641.01%	163.42%	280.81%	N/A	N/A	3716.14%	1294.68%	312.01%
Earnings									
Profit After Tax (ZW\$000)	154	8,452	-1,196	55,174	25,573	1,627	359	6,722	96,864
Return on Equity	2.97%	3.71%	-1.62%	3.17%	85.06%	1.67%	0.36%	3.50%	3.93%
Return on Assets	1.28%	3.06%	-0.55%	1.61%	56.06%	1.63%	0.34%	2.51%	2.18%
Loss(Claims) Ratio	3.77%	30.23%	6.51%	15.65%	35.00%	13.24%	9.63%	25.44%	21.00%
Net Commission Ratio	0.74%	22.76%	8.12%	1.29%	0.00%	0.00%	5.88%	3.83%	6.60%
Net Expense Ratio	78.21%	37.74%	99.75%	35.25%	0.00%	66.12%	12.92%	8.09%	33.39%
Combined Ratio	82.73%	90.73%	114.38%	52.18%	35.00%	79.35%	28.43%	37.36%	60.99%
Liquidity									
Current ratio	N/A	1086.01%	179.86%	57.59%	284.71%	596.31%	112.05%	64.42%	79.92%
Acid Test ratio									
Liquid assets as a percentage of total assets	25.14%	9.21%	1.27%	0.24%	14.59%	0.95%	0.71%	1.94%	1.19%
Market Shares									
Market Share Based on GPW	0.13%	23.80%	2.49%	56.63%	8.76%	2.01%	0.81%	5.38%	100%
Market Share Based on NPW	0.13%	23.80%	2.49%	56.63%	8.76%	2.01%	0.81%	5.38%	100%
Market Share Based on Total Assets	0.27%	6.21%	4.88%	76.97%	1.03%	2.24%	2.39%	6.02%	100%

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE FIRST QUARTER ENDED 31 MAR 2022 (ZWS\$000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	892	166,792	17,425	396,821	61,400	14,072	5,645	37,688	700,735
Reinsurance Premiums	0	0	0	0	0	0	0	0	0
Net Written Premiums	892	166,792	17,425	396,821	61,400	14,072	5,645	37,688	700,735
Increase/(Decrease) in UPR	0	12,507	0	0	0	1,279	0	0	13,786
Net Earned Premiums	892	154,285	17,425	396,821	61,400	12,793	5,645	37,688	686,949
Provision for Future Claims	0	0	0	0	0	0	0	0	0
Outstanding claims	0	0	0	0	0	0	0	0	0
Paid Claims	34	50,424	1,135	62,096	21,490	1,863	544	9,587	147,173
Net Claims	34	50,424	1,135	62,096	21,490	1,863	544	9,587	147,173
Net Commissions and Fees	7	37,967	1,415	5,100	0	0	332	1,442	46,263
Technical Result	852	65,894	14,875	329,625	39,910	10,930	4,769	26,659	493,513
Operating/Administration Expense	698	62,942	17,381	139,874	0	9,304	729	3,049	233,977
Underwriting Profit/(Loss)	154	2,952	-2,506	189,751	39,910	1,627	4,040	23,610	259,536
Management expenses	0	0	0	134,389	0	0	2,255	15,031	151,675
Investment Income	0	0	0	0	0	0	23	0	23
Unrealised Gains/Losses	0	0	0	0	188	0	0	29	217
Other expenses	0	0	0	0	14,530	0	2,032	0	16,562
Other Income	0	5,500	1,341	4,439	5	0	584	-1,127	10,741
Profit Before Interest and Tax	154	8,452	-1,166	59,801	25,573	1,627	359	7,480	102,280
Taxation	0	0	30	0	0	0	0	0	30
Interest Payments	0	0	0	4,627	0	0	0	758	
Profit After Tax and Interest	154	8,452	-1,196	55,174	25,573	1,627	359	6,722	96,864
Transfer to policyholders funds	0		1,129		0	0	0	0	1,129
Dividends	0		0		0	0	0	0	0
Retained Income	154	8,452	-2,325	55,174	25,573	1,627	359	6,722	95,735

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 MAR 2022 (ZWS000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	8,356	130,447	179,116	3,152,546	1	61,955	5,652	230,881	3,768,954
Investment Property	0	87,665	19,413	0	640	20,756	96,639	6,150	231,263
Investments in Securities	0	37	0	0	673	201	2	387	1,299
Intercompany Investments	0	0	0	0	0	0	0	0	0
Prescribed Assets	0	1,000	0	3,991	0	0	0	0	4,991
Other Non-Current Assets	0	0	0	0	14	3,003	0	0	3,017
Total Non-Current Assets	8,356	219,148	198,529	3,156,537	1,328	85,914	102,294	237,418	4,009,523
Technical Assets									0
Reinsurers' Share of O/S Claims	0	0	0	0	0	0	0	0	0
Deferred Acquisition Cost (DAC)	0	0	0	0	0	0	0	0	0
Total Technical Assets	0	0	0	0	0	0	0	0	0
Current Assets									
Cash & cash equivalents	33	25,429	2,752	8,146	6,658	950	755	5,185	49,908
Short Term Investments	3,000	14	0	0	0	0	0	0	3,014
Prescribed Assets	0	0	0	0	0	0	0	0	0
Inventory and Other Assets	171	19,623	14,224	17,138	37,181	559	740	8,380	98,017
Accounts Receivables	503	11,942	1,717	243,901	454	12,097	2,461	16,922	289,997
Total Liquid Assets	3,032	25,444	2,752	8,146	6,658	950	755	5,185	52,922
Total Assets	12,062	276,157	217,222	3,425,722	45,621	99,520	106,250	267,906	4,450,460
Liabilities									
Deferred Tax Liabilities	0	0	0	340,175	-100	0	0	36,409	376,483
Future policyholders benefits	6,808	42,517	132,925	1,218,912	0	0	1,493	20,693	1,423,348
Short term loans	0	0	0	28,612	0	0	0	0	28,612
Long term Loans	0	0	0	0	0	0	0	7,768	7,768
Current Tax provisions	0	0	0	0	0	0	0	0	0
Gross Outstanding Claims	0	565	0	1,035	0	0	0	0	1,600
IBNR	0	0	0	0	0	0	0	0	0
UPR	67	0	0	0	0	0	1,366	0	1,433
Creditors	0	5,249	5,960	65,509	0	865	3,531	6,525	87,639
Amount due to related companies	0	0	0	0	0	0	0	0	0
Other Liabilities	0	0	4,433	33,084	15,657	1,417	0	4,391	58,983
Total Technical Liabilities/Reserves	6,874	43,082	132,925	1,219,947	0	0	2,859	20,693	1,426,381
Current Liabilities	0	5,249	10,393	467,380	15,557	2,282	3,531	47,325	551,717
Total Liabilities	6,874	48,331	143,318	1,687,327	15,557	2,282	6,390	75,786	1,985,866
Shareholders's Equity									
Share Capital	14	411	0	1,500	1,049	930	352	211	4,467
Share Premium	1,334	1,610	0	0	0	0	0	978	3,922
Revaluation & Other Reserves	6,081	207,699	185,130	2,756,116	430	63,686	102,516	199,989	3,521,646
Retained Profit	-2,241	18,105	-111,226	-1,019,221	28,585	32,622	-3,008	-9,058	-1,065,442
Shareholders's Equity	5,188	227,826	73,903	1,738,395	30,064	97,238	99,860	192,120	2,464,594
TOTAL EQUITY & LIABILITIES	12,062	276,157	217,222	3,425,722	45,621	99,520	106,250	267,906	4,450,460

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 31 MARCH 2022

Name of Company	Individual Life (ZWS000)						Corporate Business (ZWS000)						Total Gross Premiums (ZWS000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-22 Inflation Adjusted	Change - Inflation Adjusted
First Funeral	37	31	-16%	19,371	68,004	251%	0	0	N/A	23,207	98,756	326%	42,616	166,792	291%	96,581	127%
Foundation	54	148	173%	8,202	17,277	111%	0	0	N/A	0	0	N/A	8,256	17,425	111%	10,090	22%
Moonlight	1,790	8,890	397%	112,218	387,931	246%	0	0	N/A	0	0	N/A	114,008	396,821	248%	229,781	102%
Orchid	8	0	-100%	47	63	33%	0	0	N/A	273	829	204%	327	892	172%	517	58%
Passion	0	0	N/A	1,516	8,464	458%	0	557	N/A	7,127	52,379	635%	8,643	61,400	610%	35,554	311%
Ruvimbo	1,658	4,222	155%	3,868	9,851	155%	0	0	N/A	0	0	N/A	5,526	14,072	155%	8,149	47%
Sunset	385	494	28%	812	4,750	485%	0	0	N/A	0	400	N/A	1,197	5,645	371%	3,269	173%
Vineyard	157	364	131%	725	9,013	1144%	275	5,490	1896%	12,066	22,821	89%	13,223	37,688	185%	21,824	65%
Total	4,089	14,149	246%	146,759	505,353	244%	275	6,047	2099%	42,673	175,186	311%	193,796	700,735	262%	405,764	109%



APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 MAR 2022

Co. Name	NPW (ZW\$000)			Claims (ZW\$000)			Commissions(ZW\$000)			Management Expenses (ZW\$000)			Total Costs(ZW\$000)			Combined Ratio		
	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change	Mar-21	Mar-22	Change
First Funeral	42,616	166,792	291%	12,720	50,424	296%	11,624	37,967	227%	14,391	62,942	337%	38,735	151,333	291%	91%	91%	0%
Foundation	8,256	17,425	111%	1,384	1,135	-18%	375	1,415	277%	6,001	17,381	190%	7,761	19,931	157%	94%	114%	20%
Moonlight	114,008	396,821	248%	19,794	62,096	214%	2,115	5,100	141%	80,637	139,874	73%	102,546	207,070	102%	90%	52%	-38%
Orchid	327	892	172%	0	34	N/A	0	7	N/A	181	698	285%	181	738	308%	55%	83%	27%
Passion	8,643	61,400	610%	2,593	21,490	729%	0	0	N/A	2,449	0	-100%	5,042	21,490	326%	58%	35%	-23%
Ruvimbo	5,526	14,072	155%	351	1,863	431%	0	0	N/A	2,568	9,304	262%	2,919	11,166	283%	53%	79%	27%
Sunset	1,197	5,645	371%	34	544	1480%	115	332	189%	752	729	-3%	902	1,605	78%	75%	28%	-47%
Vineyard	13,223	37,688	185%	3,327	9,587	188%	553	1,442	161%	6,228	3,049	-51%	10,108	14,079	39%	76%	37%	-39%
Total	193,796	700,735	262%	40,204	147,173	266%	14,783	46,263	213%	113,208	233,977	107%	168,194	427,413	154%	87%	61%	-26%